

Amazon is shopping for lenders

Signal	Amazon is in talks to sell about \$8 billion of Nvidia AI (artificial intelligence) chips, already running in its data centers, to an outside investment vehicle and lease them back, the Financial Times reported on October 1.
Read	Amazon has already borrowed about \$98 billion in bonds this year and wants more chips than its bond buyers are eager to fund. Selling the chips it already has and renting them back raises another \$8 billion without a new bond.
Cost	Probably a bit more than borrowing directly, since the investors want to be paid for the risk that the chips lose value. Amazon is paying extra for a new source of money and cleaner-looking books.

The simple version

Amazon sells chips it already owns, takes the cash, uses it to buy new chips, and rents the old ones back. It ends up running twice the chips while owning only half of them on paper. In real estate terms, it is a sale-leaseback: sell the building, lease it back, and buy the next one with the cash.

The money walk Est. The real terms are not public

1. Before \$8B of chips Amazon owns and runs	2. Sale day +\$8B cash to Amazon: \$7.2B from lenders, \$0.8B from investors. The chips stay put	3. Spend \$16B of chips running after it buys \$8B of new ones. Only \$8B owned on paper	4. Every year ~\$2B rent to the vehicle, which pays its lenders and investors	5. Lease end 3 paths Amazon renews, hands the chips back for resale, or buys them at market
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Why not just borrow the \$8 billion?

Option A: borrow \$8B		Option B: leaseback \$8B	
Cash for new chips	+\$8B	Cash for new chips	+\$8B
New debt on the books	+\$8B	New debt on the books	None. Rent instead*
Who lends	Bond buyers, again	Who lends	New private lenders
Chips owned on paper	\$16B	Chips owned on paper	\$8B
If chips lose value	Amazon's loss	If chips lose value	Shared with investors

*Accounting rules still record the rent Amazon is locked into, about three years' worth, as a lease liability. It is smaller than \$8B and not labeled debt.

How the ~\$2B a year rent was estimated (3-year lease assumed)

\$8.0B price the vehicle pays	– \$3.2B chips worth ~40% at year 3	+ \$1.2B financing at ~7% (assumed)	= \$6.0B rent over 3 years	≈ \$2.0B a year
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Who else is doing this

SPV (special-purpose vehicle): a company set up only to own an asset and borrow against it.

Who	Owner / lender	Size	Term	Asset	The read
Amazon	Unnamed investors, SPV	~\$8B	Not disclosed	Existing chips	First running chips moved out by a cloud giant
Meta, Louisiana	Blue Owl 80%, Meta 20%	\$27.3B bonds	4-year lease, renewals; value guarantee 16 years	New buildings	The template. Rated one notch below Meta
Anthropic	Apollo, Blackstone; Broadcom backs the debt	\$35B	Not disclosed	New chips	The chip supplier stands behind the buyer
xAI	Valor vehicle, Apollo, Nvidia	\$5.4B	Triple-net lease	New chips	Only \$5.4B of a reported \$20B confirmed
Microsoft	Nebius (rents it capacity)	\$17.4-19.4B	5 years	New capacity	Rents instead of owning at all

Leases that big tech has signed but not yet started: about \$1.09 trillion across Microsoft, Meta, Oracle, Amazon and Alphabet (company filings, mid-2026).

What it looks like for you

What borrowing to buy the same AI chips costs, by who your customer is. SOFR (Secured Overnight Financing Rate) is the benchmark US (United States) overnight lending rate.

Amazon itself	SOFR + 0.6 to 0.9%, unsecured bank loan, June 2026
Investment-grade customer	SOFR + 2.25 to 3%, loan repaid inside the customer contract
Weaker customers	SOFR + 4.5 to 5.5%, sold below face value, August 2026
No rating, no anchor	SOFR + 8 to 9%

1 year

practical minimum to rent chips at a discount. Under 6 months is resisted

~20%

of total contract value paid up front on 2 to 3 year terms

None

published exit terms. Commitments behave as pay-whether-you-use-it

+28%

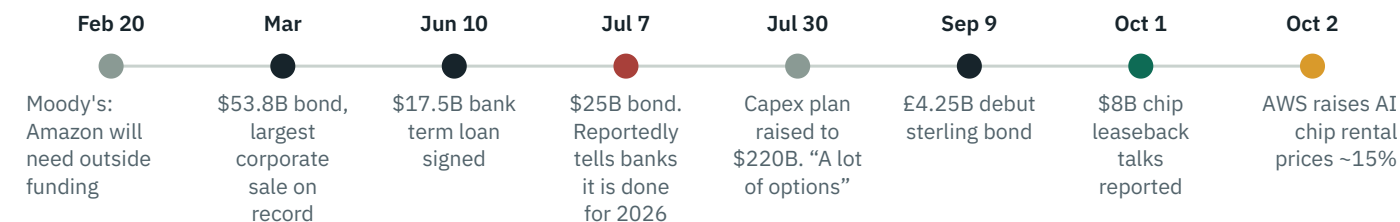
rise in the rental price of Nvidia's B200 chip this year, to \$5.62 an hour

What each side leaves out

Side	Claim	Omission	What settles it
Amazon	"We have a lot of options available to us" (CFO, Jul 30). Q2 profit of \$62.6 billion	\$50.5 billion of that profit was paper gains on its Anthropic and OpenAI stakes; free cash flow over the past year was minus \$7.6 billion	The leaseback's rate against Amazon's own loans at SOFR + 0.6 to 0.9%
Lenders	AI compute is "one of the most compelling new asset classes," with "contracted cash flows" (Apollo, on a similar deal)	Chips lose value fast: a two-year-old B200 resells for 40 to 54% of list, and chip loans lean on the customer, with "no appraisal, no residual value"	Whether Amazon guarantees the chips' leftover value
Skeptics	Deals like this are about "not wanting the credit rating agencies to look" (on Meta's version)	Lease rules keep the lease on the balance sheet, and Moody's already adds unstarted leases back as debt	How Moody's and S&P treat Amazon's debt after the deal

Done with bonds, then not

Amazon's 2026 funding. AWS (Amazon Web Services) is its cloud arm.



Fact Bond buyers are thinning out. March's dollar bond drew about \$125 billion of orders, July's \$62 billion. September's sterling debut was 2.5 times covered, and one bond investor said "demand is not unlimited."

The everyday version

Fact Selling a building and leasing it back is routine in real estate. In the 1990s, companies used the same move to keep everything off their books. After Enron the rules tightened (2002-03), and since 2019 the rent a company is locked into must show on its books. The asset and the vehicle's loans can still stay off. That is the part Amazon is after.

Where it breaks: Buildings hold value for decades. These chips are written off over five years and are likely worth about half their price after two, so someone in the vehicle carries a resale loss that building lenders never face.

What would change the read Two things. If the vehicle borrows at close to what Amazon pays on its own bonds, this is simply cheap money, and Amazon is not running short of lenders. If Amazon promises investors what the chips will be worth at the end of the lease, accounting rules will likely put the chips back on its books, and the off-the-books benefit goes away.

For an executive

Which asset could we sell and lease back, for how much, at how many points over our borrowing rate?

Then: if the extra cost is below what the cash earns in the business, set it up as a ready fallback. If not, plan funding another way now.

If lenders counted our locked-in rent as debt, as Moody's does for Amazon, how much more could we borrow?

Then: if close to zero, off-the-books moves buy no room. Start the funding talk before the squeeze.

What share of our AI spending runs through one cloud provider, and how much cheaper is a one-year reserved contract?

Then: if one provider dominates, get a reserved quote (often 40-50% below on-demand) and line up a second. Owning rarely pays: unrated borrowers pay SOFR + 8-9%.

What to watch

~Oct 29, 2026 Amazon third-quarter results (expected). Confirms: unstarted leases keep climbing or the \$17.5B bank loan is drawn. Breaks: both flat.

Early Feb 2027 Amazon annual report. Confirms: the vehicle is named with no resale guarantee. Breaks: Amazon guarantees the chips' value.

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